

Sustainability Report

2022

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About EnCap

Founded in 1988, EnCap is based in Houston, Texas and is a leading provider of growth capital to independent energy companies. Our strategy is to partner with management teams who have an established track record and a compelling business plan and provide them with strategic support that emphasizes risk management oversight. We apply a disciplined philosophy that balances capital preservation and value creation and have generated strong returns for our investors across multiple industry cycles. This sustainability report includes data on our controlled Upstream companies and Energy Transition companies, unless otherwise stated. Additional information on our Midstream platform is covered [here](#).

Team of

89

talented employees

Raised

23

institutional funds, totaling
more than \$39 billion

Manage capital on
behalf of more than

350

U.S. and
international investors

Backed more than

275

teams

Realized more than

220

investments

Manage

\$31.3

billion in assets

Investment Platforms



Upstream

- ⚡ Established in 1988
- ⚡ 21 investment professionals
- ⚡ 11 Funds



Midstream

- ⚡ Established in 2008
- ⚡ 16 investment professionals
- ⚡ 5 Funds



Energy Transition

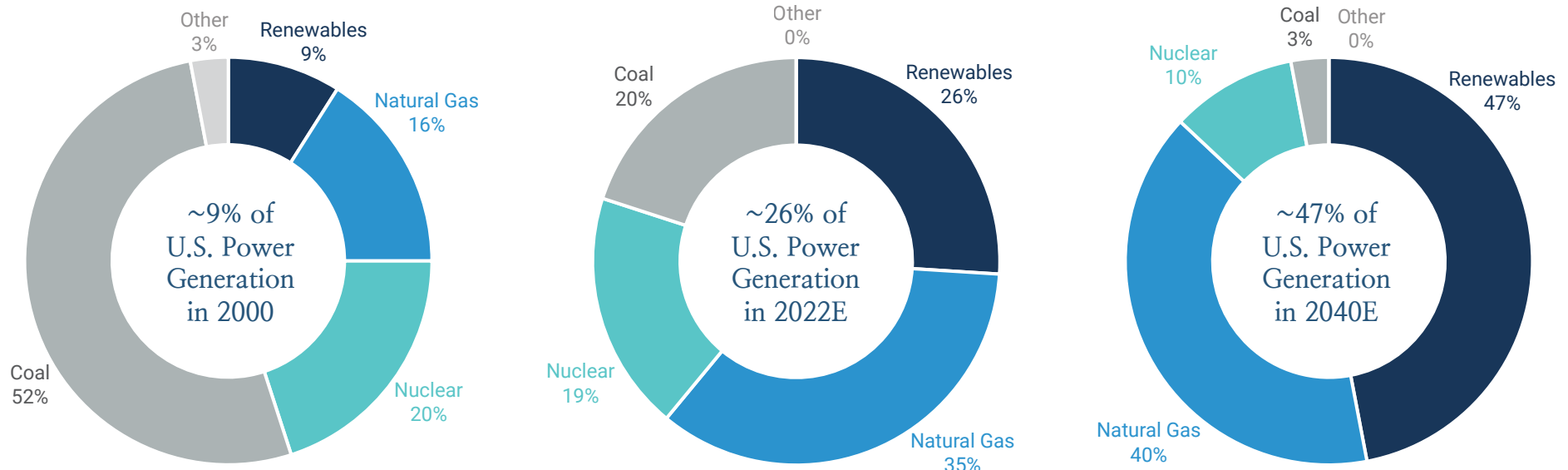
- ⚡ Established in 2019
- ⚡ 10 investment professionals
- ⚡ 2 Funds

Clean Energy Has Made Substantial Progress

There continues to be significant momentum in carbon reduction efforts, driven by declining costs, regulatory mandates, and corporate sector demand. Over the last decade, the levelized cost of utility-scale solar and wind has decreased by 77% and 59%, respectively. These advancements have supported renewables' growth in market share from ~9% of the U.S. electricity mix in 2000 to ~26% today, with projections increasing to ~47% of generation by 2040.

Governments around the world are demonstrating their commitment to the energy transition through setting aggressive emissions reduction targets and providing substantial tax subsidies. In the U.S., the Inflation Reduction Act dedicates ~\$400 billion to the expansion of clean energy credits. This legislation augments the previously passed Infrastructure and Jobs Act, a \$1.2 trillion bill that includes allocations for clean energy and electric vehicle infrastructure.

In addition, the corporate sector is driving development, with hundreds of companies committing to 100% renewable goals. Oil and gas majors are playing an increasingly important role in tackling the global energy challenge, with growing budgets dedicated to low carbon technology. Although this is notable progress, energy transition efforts are a complex endeavor with significant hurdles, including expansion of transmission grid infrastructure to meet increasing electricity demand. Moreover, there are further challenges related to addressing the availability and affordability of required minerals and ensuring grid reliability.

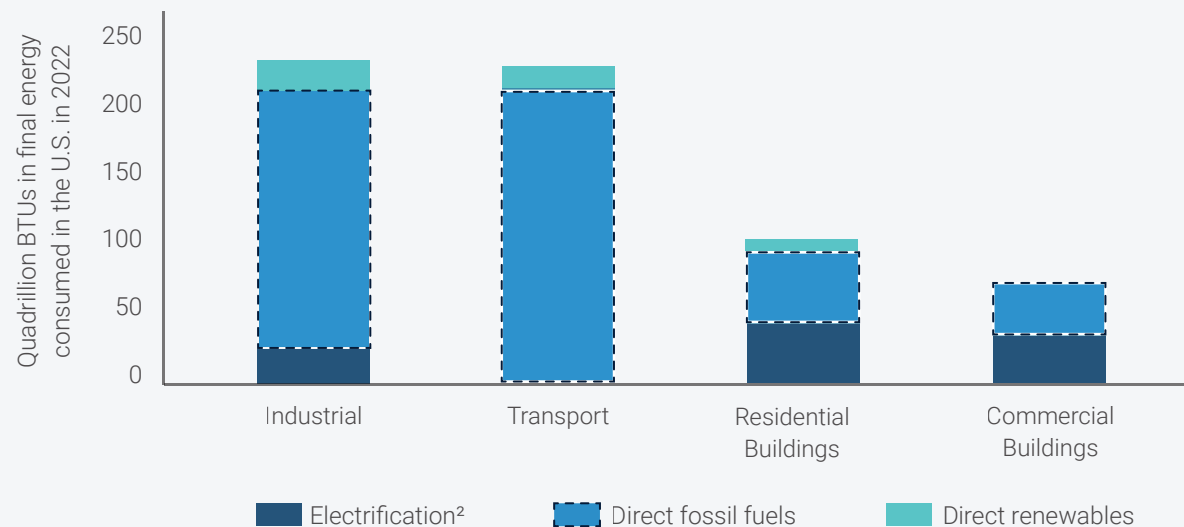


Traditional Energy Remains Core to Our Economies

While decarbonization of power grids is well underway, the reality is that modern society still relies heavily on traditional energy sources. There has been massive investment (over \$9 trillion globally) in renewable energy and electricity networks since 2005, but conventional energy still accounts for the vast majority of energy consumption.

Recognizing that fossil fuels are the backbone of our economies is crucial for contextualizing the world's energy needs. In the U.S., ~77% of the energy consumed comes directly from fossil fuels, with direct renewables contributing only ~5% to our overall energy needs. The remainder comes from electricity, which is still largely dependent on conventional energy. Within emerging countries, the use of fossil fuels is even higher, up to ~86% of the energy mix.¹

Efforts aimed at curbing carbon emissions are ongoing and will require significant amounts of capital and innovation in the coming years. We believe that traditional fuels will have a critical role to play in the overall energy mix for decades due to their reliability, energy density, efficiency, and established infrastructure systems.



Source: J.P. Morgan.

¹ Emerging countries excludes China.

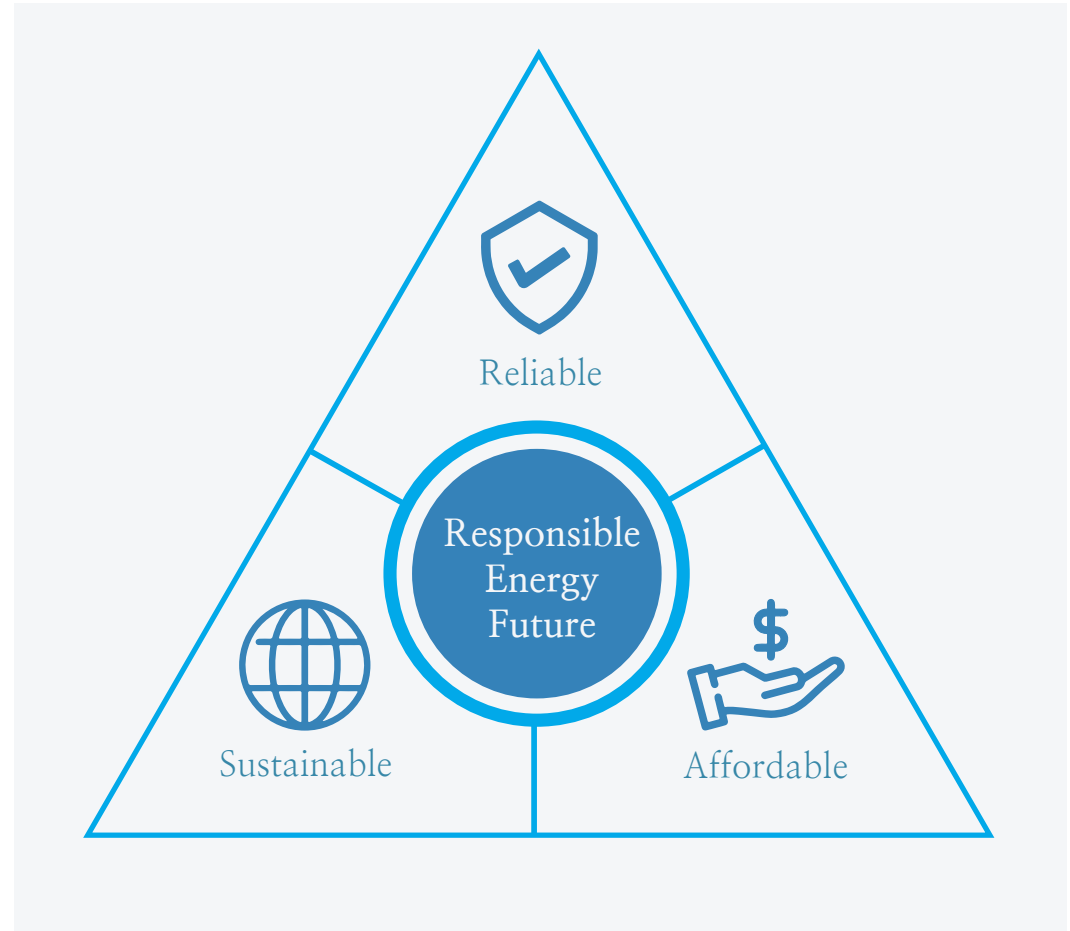
² Electrification relies on local power grids, which largely remain dependent on fossil fuels.

Investment Across Diverse Energy Sources is Necessary

The Energy Information Administration forecasts that overall energy demand is expected to grow, with oil and gas continuing to be integral as the renewable market matures over the coming decades. This growth is driven by increases in population and a rise in energy use per capita.

Energy security has come into focus as an essential component of the evolving energy landscape. The conflict in Ukraine caused fuel prices to soar during 2022, leading to significant disruption to consumers and the broader economy. This has highlighted the continued importance of considering geopolitical factors to ensure access to affordable, reliable, and sustainable energy for all.

To enable economic progress and meet global sustainability goals, we believe it is critical that we invest across a diversified fuel mix. Our economies run on traditional fuels and withdrawing from these resources without strategic planning may jeopardize sustainability objectives. At EnCap, we remain committed to investing in a responsible energy future and have identified value creation opportunities across our Upstream, Midstream, and Energy Transition platforms.



Corporate Governance

Strong governance is at the core of our culture and the foundation of our decision making. We recognize the responsibility we have to our investors and other stakeholders and are committed to high standards of ethical conduct and corporate governance oversight. Our longstanding investment model aims to balance capital preservation and value creation with a proactive management approach. In nearly all of our investments, we seek to leverage board representation at the portfolio company level.

Responsible Investing

Oversight

Since our founding, we have worked to maintain a reputation and culture that promotes honesty and integrity. In 2009, we began formalizing these efforts by establishing related policies and procedures that have become our Compliance Manual, Code of Ethics, and ESG Policy detailing our principles and expectations. All of our employees are expected to adhere to these policies, and our Compliance Officer works to ensure compliance with company guidelines. Regarding environmental, social, and governance (“ESG”), we believe it is a responsibility across our entire organization. Our Managing Partners have ultimate oversight and set the tone for the way our people conduct business daily. In 2021, we dedicated additional resources to ESG by establishing an in-house role in addition to partnering with an ESG consultant. Our Head of ESG reports directly to the Managing Partners; she leads our ESG strategy across all functional departments, interfaces with portfolio companies, and communicates with stakeholders, coordinating with our Chief Financial Officer and Chief Compliance Officer.

Risk Management

In virtually all of our companies, we seek to leverage board representation at the portfolio company level, allowing us to influence business decisions including those relating to capital spending, strategy, and ESG factors¹, while preserving each portfolio company’s ability to manage its day-to-day operations. In order to monitor the ESG performance of our companies, we expect them to report on relevant activities at quarterly board meetings in addition to completing an annual comprehensive questionnaire. This question list was developed in consideration of leading practices and sustainability frameworks. Our goal in collecting ESG metrics is to increase the focus on these topics and provide us with insights into the ESG performance of our portfolio companies. We spend significant time reviewing responses and interacting with our companies to identify portfolio trends and potential improvement opportunities. While the quality of our data continues to develop, we believe a standardized questionnaire enhances awareness of our companies’ impact and allows for measurable performance.



¹ For further discussion, please reference page 10, our Approach to ESG.

Cybersecurity

We have devoted significant resources to our cybersecurity efforts and are actively assessing and improving our program

Our Chief Information Officer (CIO) is responsible for developing and managing EnCap's information security and resiliency programs. He works with the Chief Financial Officer, Chief Compliance Officer, and the Managing Partners to review cybersecurity policies and procedures and refine our comprehensive incident response plan.

Each year, our CIO conducts a gap analysis and prepares a roadmap for continuous improvement to our IT infrastructure. We perform regular risk reviews with third parties and conduct vendor assessments to prepare for potential and increasing cybersecurity threats. This includes various phishing exercises to evaluate and enhance our staff's cybersecurity awareness. We also partner with a cybersecurity firm that provides 24/7 security operations center services and monitors all IT assets using artificial intelligence and behavior patterns.

For many of our sizeable portfolio companies, we also conduct yearly cybersecurity assessments based on the National Institute of Standards and Technology cybersecurity framework. Based on our findings, we provide guidance in creating a technology roadmap to improve their security framework.



Our Approach to ESG

EnCap believes in an ongoing commitment to excellence across all areas of our business, including ESG stewardship. We have had a long history of responsible investing practices that are reflected in the way we have conducted our business for over thirty years. Many of the principles within ESG have been a focus for us and our companies well before the acronym became mainstream. We continue to support the inclusion of ESG factors in our investments as we believe it mitigates risk and contributes to building better, more resilient organizations. Recognizing there are many ESG issues pertaining to the energy sector, our strategy is to prioritize the matters that maximize return for our investors and are consistent with our values.



Environmental

- Promote the importance to our operators of being responsible stewards of air, land, and water
- Encourage our Upstream companies to monitor and reduce emissions
- Invest in decarbonization efforts via our Energy Transition companies
- Prioritize innovative technologies and practices to improve environmental performance where commercially feasible



Social

- Attract talented employees and provide them an environment to grow
- Foster an inclusive and respectful work environment
- Strive for best practices regarding health and safety in our company operations
- Support our companies in their engagement with local communities
- Give back to philanthropic organizations that employees are passionate about



Governance

- Commit to conducting our business with integrity, honesty, and transparency
- Manage risk by leveraging board representation at the portfolio company level in virtually all investments
- Seek to review ESG matters at quarterly board meetings
- Collect standardized ESG metrics from our portfolio companies to direct areas of focus and assess improvement

“ ESG is a key performance indicator for all of ETF’s management teams. We work together to set financial, operational, and ESG targets annually. At the end of each year, we take a holistic approach in determining compensation and hold our teams accountable for meeting their goals. ”

Kellie Metcalf
ETF Managing Partner



Environmental Stewardship

We are committed to the goal of producing responsible and efficient energy and we promote the importance of being good stewards of air, land, and water to all of our operators. At a minimum, our portfolio companies are required to meet rigorous local, state, and federal regulations governing their operations and, in many cases, they go beyond these requirements with leading industry practices. Our companies strive to maintain high levels of environmental standards to help drive performance. As owners, we encourage our Upstream companies to monitor and reduce emissions, while broader decarbonization efforts are central to our Energy Transition strategy.

Investing in Decarbonization

We recognize that decarbonization is a global priority, with over 150 countries committed to reaching net zero emissions. In addition to these tailwinds, there is increasing consumer and corporate demand for environmentally responsible solutions. Established in 2019, EnCap's Energy Transition Funds ("EETF") invest in companies whose efforts aim to reduce overall greenhouse gas emissions.

EETF is primarily focused on opportunities in the United States that address the most energy-intensive sectors of our economy. To date, our investments have largely been in decarbonizing power generation using solar, wind, and battery storage, with emerging opportunities in low carbon fuels and carbon management.

We believe that the energy transition will require trillions of dollars in investment to achieve ambitious goals. As renewables become more cost-competitive and large amounts of capital flow into clean energy, we expect continued attractive risk-adjusted opportunities to strategically allocate capital. Our highly experienced investment team has identified a robust deal pipeline and seasoned executives to lead our businesses.

At year-end, EETF had seven active management teams and deployed over \$1 billion. Fund I successfully realized two investments, both of which exceeded targeted returns. While much work remains to achieve global environmental objectives, we are proud of our people who have made significant progress.

Our Energy Transition Portfolio

Company	Wind	Solar	Storage	Renewable Services	Low Carbon Fuel
					●
	●			●	
	●	●	●		
		●	●		
	●	●	●		
		●	●		
	●				

EETF Portfolio Environmental Highlights

Our Energy Transition companies play an important role in carbon reduction efforts, working as developers in the earlier stages of renewable-related projects. During the development phase, there is typically minimal environmental impact and thus standard sustainability metrics are less applicable. As companies progress to the construction or operation phases of a project, there is an increased environmental footprint. However, given our investment model, we may monetize the asset prior to reaching this point. Once operational, EETF-initiated projects are anticipated to make meaningful contributions to offsetting greenhouse gas emissions. Below are measurable environmental and operational datapoints reported by our portfolio during 2022:

Development Pipeline¹



- Solar: 8,104MW
- Wind: 5,400MW
- Battery Storage: 10,339MW / 12,330MWh

Projects in Construction



- Solar: 71MW
- Battery Storage: 62MW / 194MWh

Projects in Operation



- Solar: 8MW
- Battery Storage: 352MW / 356MWh
- Electricity Generated: 154,601MWh
- GHG Scope 1 Emissions²: 17mtCO₂e
- GHG Scope 2 Emissions²: 60,801mtCO₂e
- Emissions Avoided: 51,774mtCO₂e

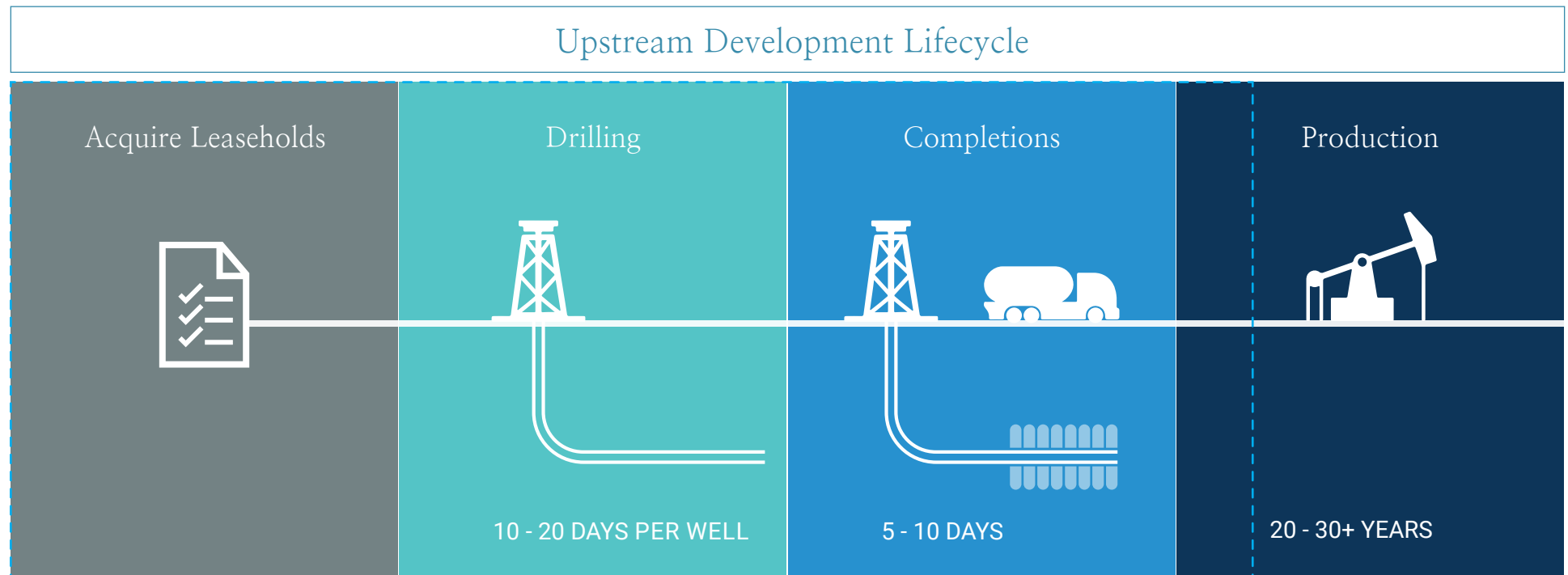
¹Development pipeline defined as site control, interconnect request submitted, permit application process commenced, if applicable.

²Emissions provided by companies in operation and may include emissions related to other phases of the development lifecycle.

Emissions in Upstream Operations

EnCap's Upstream companies play a critical role in the overall lifecycle of oil and gas production, locating and extracting hydrocarbons that are ultimately transported and processed into numerous derivative products essential to our daily lives. Our developers are involved in the preliminary stages of acquiring leaseholds as well as drilling, completing, and operating wells. Their activities account for the emissions occurring in the early stages of a well's lifecycle, which are expected to be higher relative to later stage emissions associated with normalized production.

During the drilling phase, emissions are produced as diesel is often used to power a drilling rig. In the next phase of development as wells are completed, fuel is also used to power pumping equipment or to move water and other fluids. Once a well is producing, some methane emissions may be released as product moves through surface infrastructure and equipment. Minimizing the release of this gas has become a key focus within the industry as methane is known to trap significantly more heat in the atmosphere than carbon dioxide. As we discuss in the following pages, as owners, we support our portfolio companies in utilizing leading management practices and innovative technologies to reduce their environmental impact.



--- EnCap Investment Focus Area

Upstream Portfolio Emissions and Flaring Data¹

Our Upstream portfolio was running over 30 rigs during 2022, making us, in aggregate, one of the most active operators in the United States. Our companies' total oil and gas production grew significantly (>75% increase year-over-year), attributed to new acquisitions and the development of existing assets across multiple production basins. While our producers have employed tools to operate efficiently, year-over-year emissions have trended upward with the considerable growth of total production.

Displayed on the right are key emissions and flaring metrics from our portfolio. The upstream sector is subject to stringent federal, state, and local regulations, and nearly all of our operating companies are required to report detailed information on their emissions sources to regulatory authorities. It is important to note that emissions measurement is an evolving field, with continuing advancement in industry standards and commercially available technologies. As such, we expect to provide more accurate and complete data over time.

	2021	2022
Gross Production		
MBoe	119,842	210,005
MBoe/d	328	575
Emissions		
GHG Scope 1 Emissions (mtCO ₂ e)	1,447,675 ²	3,003,568
GHG Scope 1 Emissions Intensity (mtCO ₂ e / MBoe)	12.1 ²	14.3
Methane Emissions (mtCO ₂ e)	Not Available	441,358
Methane Intensity (mtCO ₂ e / MBoe)	Not Available	2.1
Flaring		
Flared Hydrocarbons (MMcf of natural gas)	3,697	8,596
Flaring Intensity (MMcf of natural gas / MBoe)	0.03	0.04

¹ EnCap owned different companies in 2022 than in 2021, and quantification methods for different environmental metrics may vary between 2021 and 2022, therefore the values for the two years cannot be compared directly.

² 2021 Scope 1 emissions differ from last year's report, as Enduring re-stated its figures.

Innovative Technologies in Drilling and Completions

We recognize that drilling and completions activities are a primary source of our Upstream portfolio company emissions, and we support our management teams in leveraging innovative technologies to achieve greenhouse gas emissions reductions. The benefits of reducing emissions are often two-fold. Companies can prevent unwanted pollutants while simultaneously improving operational efficiencies. Some of our companies have begun implementing processes and technology to lower emissions during drilling and completions, such as using less carbon-intensive fuels (e.g. natural gas) or electrification. Widespread electrification remains a challenge for the industry due to limitations around availability of rigs and reliability of grid power in remote locations. Even so, technical improvements are making emissions minimization during this phase of development increasingly feasible.



XCL has incorporated dual fuel rigs in its drilling operations. These rigs are powered by natural gas, which can reduce emissions by ~75%. Diesel is still needed at times in order to meet on demand power needs.

In addition, XCL has deployed the first all-electric completion fleet in the Rockies. This technology is powered by locally-supplied field gas sourced directly from the wellhead, providing significant fuel savings and a large reduction in greenhouse gas emissions.

These proactive measures, in addition to the company's more fulsome ESG practices, have positioned XCL to achieve the lowest greenhouse gas and methane intensity within the Uinta Basin.¹



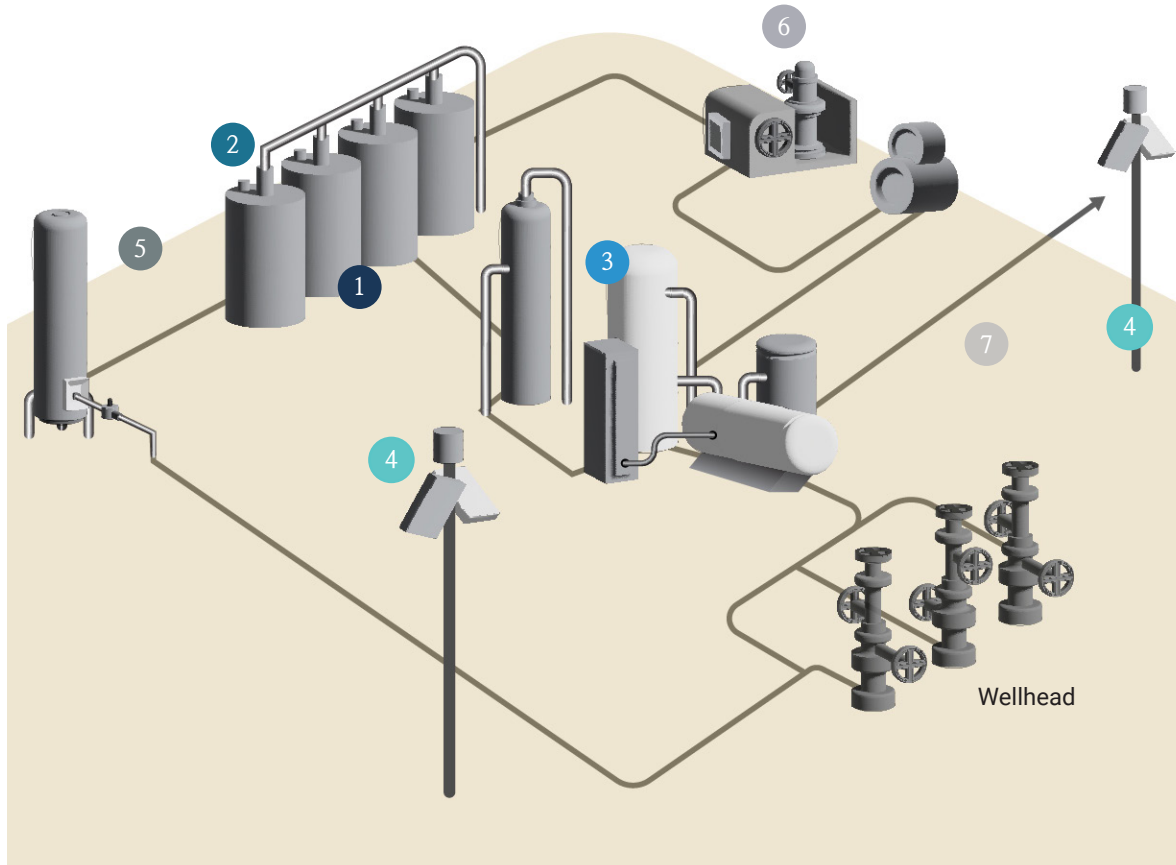
Enduring owns and operates an integrated water management system that allows for slickwater completions instead of the nitrogen foam method commonly used across the San Juan Basin. Under the traditional method, nitrogen becomes entrained in the natural gas, requiring regional operators to flare until nitrogen levels decrease below acceptable pipeline standards.

Enduring's unique approach allows it to connect wells to midstream operators during flowback, eliminating the need for flaring. Not only does this dramatically reduce emissions, but it also increases the amount of product the company can move for sale.

¹ ESG Dynamics November 2022 benchmarking of the top eight producers in the Uinta Basin. Note that this is 2021 data as 2022 data was not yet available.

Production Facility Design and Operations

Following the drilling and completions stage, many of our operators strive to mitigate emissions during production. Below are select examples of various equipment and practices that some of our companies have integrated into the design of their facilities to minimize their environmental footprint.



- 1 **Centralized Facilities:** Consolidated tank system reduces the number of potential leak sources
- 2 **Weighted and Monitored Thief Hatches:** Closures on top of storage tanks designed to re-seal tightly and equipped with sensors
- 3 **Vapor Recovery Units and Towers:** Removes vapors from crude oil or distillate, minimizing fugitive emissions and maximizing sales volumes
- 4 **Continuous Methane Monitors:** Identifies, locates, and in some cases quantifies sources of emissions real-time
- 5 **Enclosed Combustion Units:** High-efficiency combustion designed to mitigate methane and VOC emissions
- 6 **LACT Units:** Performs liquid transfers and tank loading/unloading activities automatically vs. manually, which decreases fugitive gas emissions
- 7 **Pipeline Takeaway:** Product transfer agreements are established before completing wells to reduce flaring, storage, and truck loadouts

Additional Technology Incorporated Throughout

Air Driven Pneumatics: Powered by compressed air instead of natural gas, which eliminates vented methane emissions

SCADA System: Monitors pressures, temperatures, fluid levels, and other operating parameters to remotely manage and control operations

Flaring Within Oil & Gas Production

Flaring typically takes place when associated natural gas production cannot be transported for sale, causing operators to combust excess gas. Many of our management teams are focused on reducing the use of flaring, and several companies strive to eliminate routine flaring altogether. This means that for companies that have taken steps to eliminate routine flaring, the goal is that flaring will generally only occur when there is an unexpected infrastructure outage or other instances where necessary. In these circumstances, combustion is preferred as it is a controlled release, which maintains equipment integrity and can protect worker safety. Moreover, the flaring process converts methane and VOCs into carbon dioxide, which results in less harmful emissions than venting the gas into the atmosphere.

Reducing Flaring Intensity



Ameredev operates in the Permian Basin, where flaring activities are historically prevalent. The company has eliminated routine flaring and limits its production when gas purchasers cannot provide sufficient pipeline capacity or during periods of scheduled maintenance. In 2022, Ameredev successfully reduced its year-over-year flaring intensity by over 65% across its operations.



Building Resiliency with Infrastructure Partners

Piedra coordinates its production activities with midstream service providers to preemptively reduce flaring. The company has established redundant connections with multiple gas purchasers, which reduces the need for flaring when pipelines cannot accept gas due to unforeseen issues.



Collaboration with Pipeline Operators

Constrained pipeline capacity in the Bakken has led to increased flaring activity in the basin relative to other modern unconventional basins. Grayson Mill is working closely with its gas gatherer to increase pipeline and compression capacity. To ensure its team is fully aligned in reducing flaring emissions, Grayson Mill plans to incorporate Gross Gas Capture targets into its 2023 scorecard, dedicating 10% of the employee bonus pool to this performance goal.

Emissions Monitoring & Detection

Our Upstream companies implement various state-of-the-art monitoring and detection technologies to improve production efficiency, meet rigorous regulatory compliance standards, and reduce methane emissions. Leak detection and repair (LDAR) regulations and technical feasibility differ across regions, and as a result, our management teams employ a wide range of surveying tools. These may include: audio, visual, & olfactory (AVO) surveillance, optical gas imaging (OGI), aerial monitoring, and continuous methane monitoring. Some of our companies use a combination of these methods to identify emissions or leaks and develop appropriate response plans.

Portfolio Company Examples



Optical Gas Imaging

OGI cameras use infrared sensors to detect emissions (e.g. methane, VOCs), allowing users to visualize leaks invisible to the naked eye, including very small leaks. PennEnergy's LDAR program is led by two OGI-certified technicians with extensive knowledge of facility operations and repair practices. Beginning in 2022, PennEnergy increased the frequency of leak detection surveys at its wellpads to a quarterly schedule. While leaks must be repaired within a fifteen-day timeframe, PennEnergy has made most repairs within two days.



Aerial Monitoring

Aerial monitoring allows for leak surveys to be conducted by drones or airplanes equipped with various technologies, such as LiDAR and continuous air sampling. This methodology enables an operator to identify and repair larger leaks more efficiently than traditional ground-level inspections. In 2022, XCL contracted Bridger Photonics to perform aerial surveys to supplement its LDAR inspections. XCL plans to continue using aerial surveys to exceed its regulatory requirements and more effectively mitigate fugitive emissions.



Continuous Methane Monitoring

Continuous methane monitors detect locations and concentrations of emissions, providing real-time updates to operators. During the year, Forge tested two continuous monitoring systems to evaluate feasibility and cost across its production assets. The company determined that the continuous monitors were highly effective at both identifying and quantifying emissions, allowing for mitigation to take place in a more timely manner which can reduce overall methane releases.

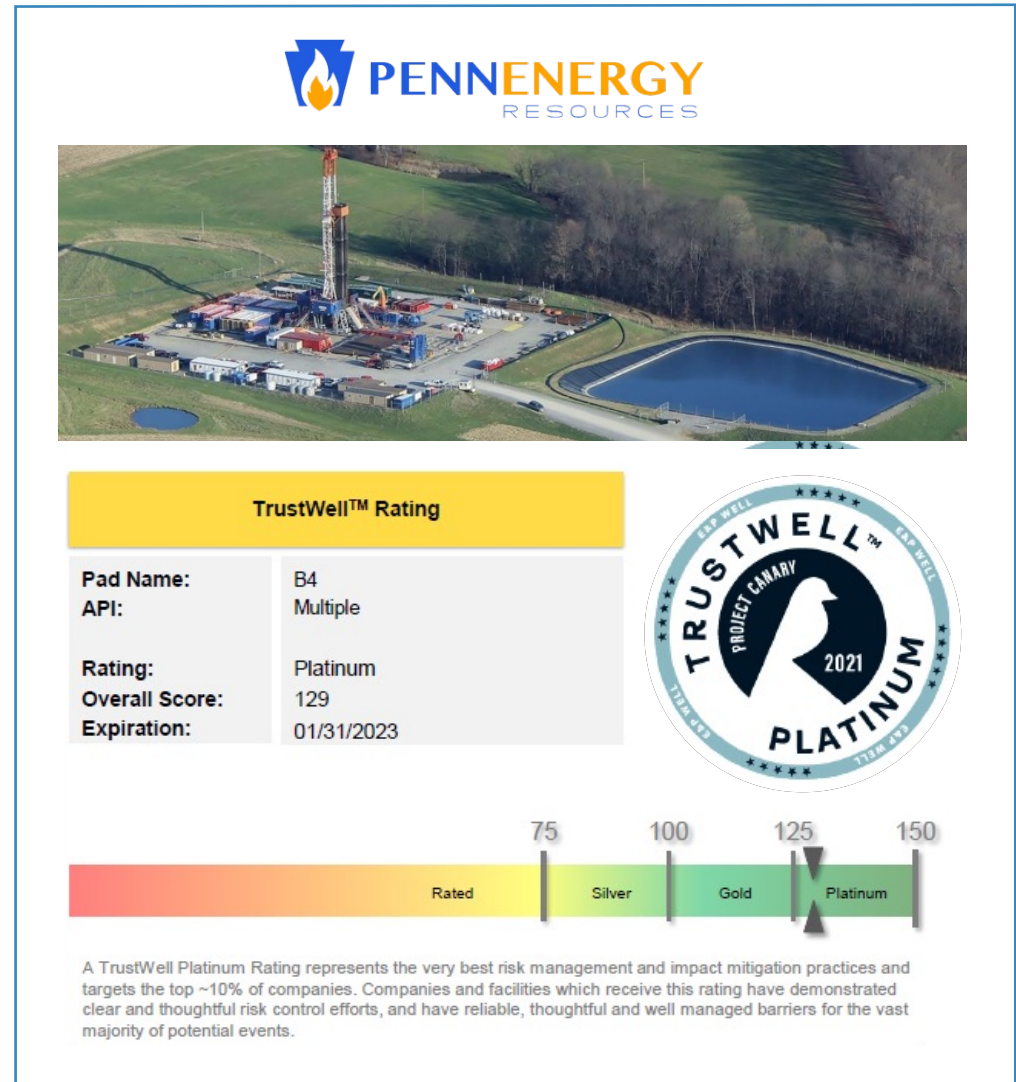
Independent Validation of ESG Performance

PennEnergy engaged Project Canary, an independent certification organization focused on ESG performance in the energy sector, to certify its operations through the TrustWell Certification process. The certification process includes analyzing more than 600 data points across many parts of the ESG spectrum on a well-to-well basis to create a dynamic score. This includes scrutinizing each well against strict standards regarding air, water, land, and community. The review encompassed extensive meetings over the course of several months, evaluating operational data and procedures, and inspections at all of the company's well sites.

In 2021, PennEnergy earned the top "Gold" and "Platinum" ratings on 375 of its 378 wells, which means nearly all of its production is certified as "Responsibly Sourced Gas" or "RSG", a classification of natural gas produced in the most environmentally responsible way.

In 2022, PennEnergy was fully re-certified, with all of its new wells receiving a "Platinum" rating and several of its existing wells upgraded from "Gold" to "Platinum." A "Platinum" rating places PennEnergy in the top 10% of all companies in environmental stewardship.

This achievement is a testament to PennEnergy's culture that has always prioritized ESG considerations. The company has invested significantly in facility retrofits and design, emissions reductions projects, and its water re-use practices.



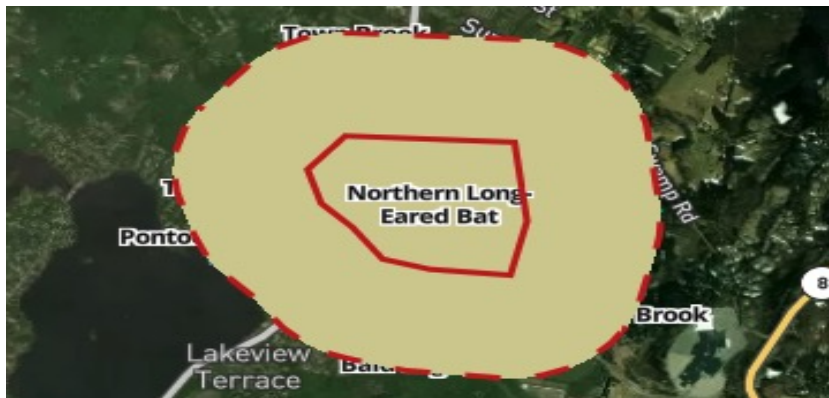
Biodiversity Impact

Many of our companies evaluate biodiversity considerations before development or construction begins as part of their overall project planning and permitting efforts. At a minimum, all operators must work to ensure their projects abide by relevant regulations on the lands where they operate. Depending on the area, specific studies or assessments may be required to determine the impact on native ecosystems and species. As a result, some of our teams work closely with state, federal, or non-profit organizations as necessary to minimize the ecosystem impact of their operations.



Prior to development of any ground-mount projects, Catalyze conducts ecological and wildlife due diligence. This typically includes documenting the likely presence of any endangered or protected plants or animals and working with relevant agencies on a mitigation plan.

Catalyze's Lanesboro site was determined to be a known roosting location for the northern long-eared bat. In order to minimize disturbance and comply with regulatory requirements, site clearance occurs during the species' hibernation period, generally from November through March.



Silverback's area of operation overlaps with habitats of endangered species, such as the lesser prairie chicken and dunes sagebrush lizard. To minimize impact on the surrounding environment, the company coordinates with federal land agencies and partners with the CEHMM, an organization specializing in conservation programs throughout New Mexico.

Silverback engages with CEHMM to conduct sensitive species and plant surveys, wetland analyses, and environmental assessments in order to better safeguard local habitats. In addition, the company plans to schedule its drilling and construction activities around breeding seasons, and will take measures to secure its equipment, preventing wildlife entry.



Spill Prevention and Control

Our Upstream companies produce significant amounts of oil, gas, and water, which creates an inherent risk for spills during routine and non-routine site activities. We believe spills can be minimized through proper planning and design of facilities and employee training. When spills do occur, we expect our companies to respond quickly, engaging environmental specialists or operational personnel to contain and recover volumes where possible and minimize impact. When such incidents occur, we expect our companies to learn from them in order to prevent similar events in the future.

Certain facilities are required to comply with the robust Spill Prevention, Control, and Countermeasure regulations developed by the U.S. Environmental Protection Agency. In accordance with these requirements, operators must develop, maintain, and implement programs including, but not limited to:

- Secondary containment and/or installation of protective barriers
- Procedures related to product transfer
- Facility inspections
- Personnel training on equipment maintenance
- Incident response protocols
- Evaluation of spill procedures every five years

Upstream Portfolio Hydrocarbon Spills	2021	2022
Number of Hydrocarbon Spills	66	189
Volume of Hydrocarbon Spills (Bbls)	2,781	6,353
Spill Intensity (BBlS spilled / MBoe produced)	0.02	0.03

Note: Spill metrics are aggregated at the portfolio level. The make up of our portfolio companies will vary year-over-year.

Confidential
Sam Sam
Jun 26, 2024 12:19 PM EDT

Leveraging Technology to Minimize Spills



Novo designs and constructs its facilities with spill prevention considerations in mind. Nearly all of its production (~99%) is remotely monitored via SCADA systems, which track temperatures, pressures, and liquid levels. This technology notifies operators of any unusual conditions, preemptively avoiding spills.

In addition, Novo has its company representatives perform weekly inspections of its tanks and separators. To facilitate this work, the company developed a custom mobile application which allows field personnel to provide details of the facility inspected, identify any key issues, and upload photos as necessary.



Water Management

EnCap recognizes that water is a precious resource that is shared by industry, agriculture, local communities, and wildlife. Water is predominately a consideration for our Upstream portfolio, as their ongoing activities require significant quantities to effectively fracture wellbores. We encourage these companies to use non-potable or recycled sources in their operations, reducing reliance on freshwater where feasible. For our Energy Transition companies, water use is generally limited to cleaning and dust control needs for solar panels and feeding livestock associated with vegetation control. Wind assets and battery storage sites typically do not consume significant amounts of water.



Upstream Water Practices

During the development phase, hydraulic fracturing requires large volumes of water to stimulate the underground wells and extract hydrocarbon resources. Water is also a byproduct throughout the production lifecycle. Depending on regional infrastructure, geology, and regulations, water is customarily sourced from groundwater, surface water, municipal water systems, or produced water.

Recycling water has become a key focus in many of our Upstream companies as it minimizes freshwater usage. These efforts typically also provide an economic benefit by decreasing purchase, transportation, and disposal costs. To date, many of our sizable companies have made meaningful investments in developing their own water infrastructure systems. This may include recycle ponds, treatment facilities, pipelines, disposal and sourcing wells, and associated metering equipment.

Over the last year, the volume of water recycled by our portfolio companies more than tripled, decreasing freshwater usage from 64% in 2021 to 45% in 2022. In certain cases, location, timing, water quality, and other economic considerations may limit a company's ability to re-use water.



Upstream Portfolio Water Metrics	2021	2022
Total Water Consumed (MBbls)	110,894	283,562 ¹
Freshwater Usage (% of Water Used)	64%	45%
Recycled Water (% of Produced Water)	17%	30%

¹Water consumption increased significantly year-over-year as production grew significantly (>75% from 2021 to 2022).
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Sam Sam
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Freshwater Reduction Initiatives

Partnership Approach to Water Optimization



Black Swan has made notable investments in developing an innovative water infrastructure system. During 2022, the company began construction on a 1MMBbl recycling pond, which kickstarted its ability to treat produced water for completions. The facility became operational in August 2022 and the company began construction on a second recycling pond.

In addition, Black Swan partnered with Lagoon Water Midstream, a company which develops and operates fully integrated water systems that provide sourcing, transportation, recycling, and disposal of water across the region. With Black Swan as its anchor tenant, Lagoon built a 20" 100Mbb/d pipeline throughout the company's leasehold. This infrastructure project provides Black Swan with expanded access to water availability by leveraging other producers' asset bases. The deal offers significant economic benefits, including lower completion costs and operating expenses, as well as promoting greater water re-use throughout the basin.

These initiatives allowed Black Swan to tie 100% of its operated horizontal wells into water pipelines. An added benefit of transporting water needs via pipelines is reduced truck usage, which improves local air quality, reduces the risk for spills, and minimizes disruption to community roads. Last year, the company recycled ~5,400MBbls of water, increasing recycled amounts from 0% in 2021 to 44% in 2022.

Investing in Water Recycling Infrastructure



Since 2019, PetroLegacy has invested significantly in its water infrastructure system, spending over \$40 million to build Pearlsnap Midstream. Pearlsnap currently includes dedicated pipelines and two 2MMBbl storage pits with the capacity to recycle up to 85-95Mbb/d per facility. This critical water infrastructure enables the company to transport water from producing wells to the ponds in order to later be re-used in completions operations.

In 2021, Pearlsnap became operational and PetroLegacy recycled ~44% of its produced water. In 2022, PetroLegacy was able to not only recycle 100% of its own produced water, but also re-used water sourced from other producers.

Social Impact

Our strongest assets are our people and relationships. At EnCap, we take pride in attracting and retaining talented employees, providing them with an environment to grow. Partnering with proven management teams comprised of recognized leaders within their fields is at the heart of what we do – we are grateful to repeatedly back several teams who have demonstrated the ability to create value for our investors. These individuals typically have corporate and operational backgrounds, bringing forward leading practices regarding health and safety to protect their workforce. We also value our relationships within the communities in which we live and work and encourage our people to give back to the organizations they care about.

Our People

We value our employees' development, and we provide opportunities to keep them engaged and mature professionally. We hire people who we believe have the capability and drive to develop new skills, broaden relationships across our organization, and benefit performance for our investors. To help our employees in their career progression, we offer periodic training and sponsor their attendance at industry conferences where they advance their skills, knowledge, and networks. We also support continuing education and certification renewals for our employees.

In addition, we are proud to offer a range of top-of-the-line benefits, which include participation in the carried interest in our funds, a company-matched retirement savings program, health savings account funding, fitness program, charitable donation matching, flexible spending accounts, flexible work arrangements, and parental leave to care for a newborn child or placement of a child for adoption or foster care for up to 16 work weeks.



EnCap Employees by the Numbers

Overall Employee Retention

95%

Average Employee Tenure

9 years

Investment Staff Turnover¹

0%



Upstream Investment Staff Tenure

15 years

Promotions

7 of which 29% are gender
or racially/ethnically diverse

New Employees

8 of which 63% are gender
or racially/ethnically diverse

Note: Data reported for the year 2022. Employee data excludes interns. ¹Includes investment staff and technical staff. Excludes associates, who typically do a 2-3 year program with EnCap.

Diversity & Inclusion at EnCap

We value diversity in skills and experiences, believe that differing perspectives allow for innovative ideas, and endeavor to create an environment in which different viewpoints can be considered. At all times, we seek to be an equal opportunity employer in accordance with federal, state, or local law or ordinance, and treat employees fairly and without prejudice. This applies to all of our hiring and compensation practices, and it is against our policy to discriminate based on age, gender, nationality, disability, religion, sexual orientation, or any other characteristic protected by law.

At EnCap, we are proud to have low turnover among our employee base. As we hire new employees, we are committed to considering a diverse candidate field, with the goal of attracting the most talented people. We will also continue to support philanthropic organizations that promote diversity and inclusion. Expanding our footprint into the broader renewables and power industries has allowed us to attract a diverse talent pool. Currently, our EETF investment staff is 20% gender diverse. As part of our overall diversity and transparency efforts, we provide certain diversity-related metrics to report on our progress.

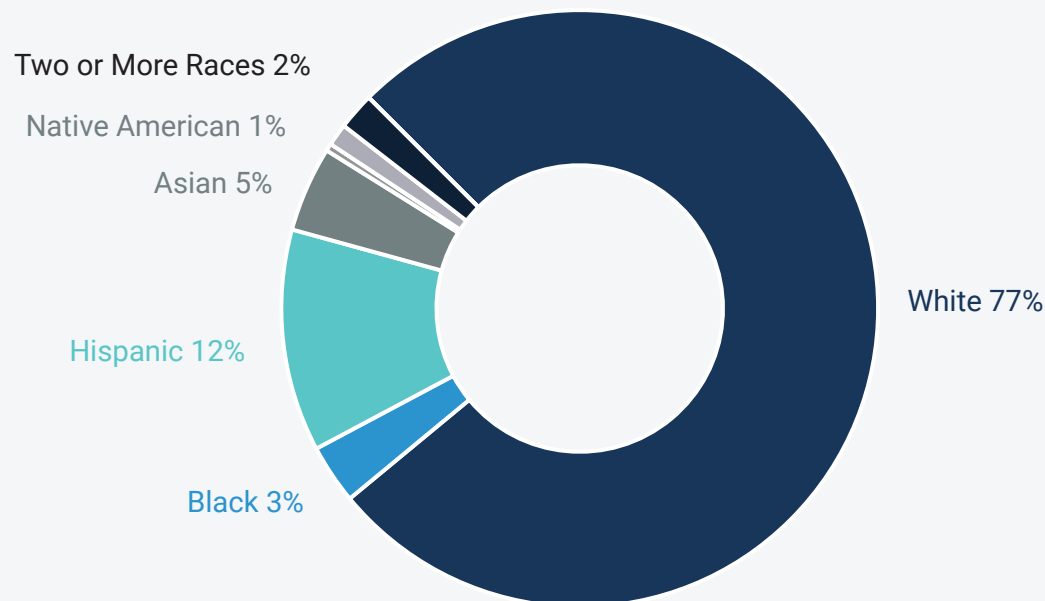
Gender Representation		
	Women	Men
Executive Management	16%	84%
Non-Executive Management	10%	90%
Professionals	28%	72%
Other	80%	20%
All Employees	33%	67%

Racial/Ethnic Group Representation				
	Asian	Black	Hispanic	White
Executive Management	11%	0%	0%	89%
Non-Executive Management	0%	0%	0%	100%
Professionals	8%	8%	0%	84%
Other	13%	0%	27%	60%
All Employees	9%	3%	6%	83%

Diversity & Inclusion at Our Portfolio Companies

When forming our management teams, we strive to work with the best people and assess professionals' track records and their operational backgrounds. In order to retain talent, our companies must provide an environment for their employees to flourish. We expect portfolio companies to foster a culture of inclusion and treating employees fairly and with respect. While we report on the diversity statistics of our portfolio companies, it is important to recognize that these metrics are compiled with data from numerous companies of varying sizes, and in different regions and industries, and are not comparable to the metrics of a single larger, stable organization.

Racial / Ethnic Representation



Number of Employees

1,380+

Employees with Equity Ownership

630+

Gender Diverse Representation

24%

Women with Equity Ownership

135+

Health & Safety

It is of paramount importance that our companies operate within a culture of safety as oilfield or construction projects inherently require riskier activities. To promote this, we look to back teams who have proven performance and backgrounds of incorporating operational excellence into their business decisions. During our investment process, we also discuss potential contractors our companies choose to partner with to understand their reputation for prioritizing health and safety in the field. All of our companies strive to maintain strong standards, and many conduct ongoing technical and specialty trainings, which are dependent on the nature of each business' operations, size, and risk.

Select best practices across our portfolio:

- Promote safety culture formally and informally
- Establish Health, Safety, and Environmental ("HSE") policies or standards
- Conduct hands-on equipment or other in-person training
- Provide computer-based training modules
- Utilize third-party consultants for safety meetings
- Employ stop work authority for all onsite personnel
- Support zero-incident rate goal with continuous improvement and exploring causes of incidents
- Audit of training records, onsite procedures, and physical features

Health & Safety Incidents	2021 ¹	2022
Total Recordable Incidents	24	31
Total Lost Time Incidents	5	13
Number of Fatalities	0	0

¹ 2021 incidents differ from last year's report, as we now report across both EETF and Upstream portfolios.

PALOMA RESOURCES

“ At Paloma, the health and safety of every employee comes above and beyond the pursuit of resources. We empower our people to take their time to do things correctly and ask any questions. It is our goal for everyone to openly communicate with one another to make our operations as safe as possible.”

Andrew McCabe
VP of Operations



Supply Chain Management

Addressing Supplier Expectations

As renewables-related manufacturing often occurs internationally, sustainable procurement is a key focus area for our Energy Transition portfolio. There are certain ESG issues inherent in the sourcing of required production materials, such as the protection of human rights and fair labor practices overseas and reducing environmental impacts related to mining, processing, manufacturing, and transportation of products. At the appropriate time in their development, EETF expects its companies to put in place relevant supply chain policies.



Conducting Due Diligence on Vendors

As a leader in energy storage and renewable operations across the U.S., Broad Reach is committed to responsible sourcing. In order to do business together, Broad Reach requires vendors to align with its Code of Business Conduct and Ethics and Supply Chain Protocol, which address environmental stewardship and workplace labor practices.

When appropriate, the company also performs on-site inspections to evaluate business practices and manufacturing processes to confirm alignment with its criteria. In 2023, Broad Reach made plans to further advance its supplier selection process and utilize an online portal to gather data regarding compliance with its rigorous ESG standards.



Community Impact

Generating Meaningful Economic Impact

We are proud of the meaningful value our companies create in the areas in which they live and work. By providing jobs and supporting local businesses, our operators play a role in driving economic growth in their respective geographic communities. All of our businesses contribute to public finances through the payment of federal and state taxes, which goes towards essential services and infrastructure development. In addition, a key aspect of the oil and gas sector's impact includes engagement with mineral and surface owners, which directly benefits rural areas hosting their operations. In 2022, our companies made the following contributions to their communities:

Number of Jobs Created

1,450+

Royalty Payments

~\$2 billion

Taxes Paid

\$560 million+



Funding Higher Education

Piedra operates on lands owned by the Permanent University Fund ("PUF"). Established in 1876, the PUF encompasses 2.1 million acres of land and is typically leased to energy or agricultural companies which generate revenue that flows into the PUF. The PUF provides critical financial support to The University of Texas and Texas A&M systems of higher education, benefiting over 390,000 students.¹ In order to maintain ongoing access and ability to develop on PUF lands, stringent operational standards are required. Piedra is in daily communications with the PUF in order to ensure adherence to the robust regulations. In 2022, Piedra contributed over \$80 million in royalties.

Data for 2022 reporting year. Note: Number of jobs includes contractor data, where available. Taxes paid and royalty payments only include information provided by our Upstream portfolio.

¹ Number of students calculated based on PUF [resources](#) dated March 2021.

EnCap Cares

Giving back has always been a core value of EnCap's culture. We encourage our people to contribute to their communities and we respect each individual's decision to pursue causes they are passionate about. To support our staff, we offer a dollar-for-dollar donation matching program. Since inception in 2015, we have matched more than \$2 million and supported over 200 outreach efforts.

Below are a few of the many organizations we have supported:

- 9 Marks Ministries
- Agape Development
- Alzheimer's Association
- American Heart Association
- Autism Action Partnership
- Behind Every Door
- Brother Bill's Helping Hand
- Family Legacy
- The Forge for Families
- Hope International
- House of Houston
- Houston Food Bank
- International Justice Mission
- Leukemia & Lymphoma Society
- Living Water International
- Love Justice International
- The Source for Women
- Small Steps Nurturing Center
- Still Water
- The Human Trafficking Institute
- Work Faith Connection
- Young Life

Ongoing Community Projects

EnCap management has been instrumental in leading and supporting the Small Steps Nurturing Center since its formation in 1995. Small Steps Nurturing Center provides a high-quality education, social and emotional support, a nurturing environment, transportation, and nutritious meals to children ages two through six who live in poverty. Over the years, many of EnCap's senior leaders have served as board members, focusing on fundraising efforts and facility expansion. The Small Steps Energy Classic Golf Tournament, initiated in part by one of EnCap's Founding Partners, remains the largest fundraiser for the organization generating more than \$17 million over the past 26 years.



EnCap Engage

In 2019, our employees formed EnCap's Charitable Action Committee, made up of team members from different departments who work to plan service events for a more hands-on impact with local charities. This provides an additional opportunity for us to support the organizations our employees care deeply about. The Committee coordinates meaningful projects where our employees come together for a day to volunteer. Through this initiative, we have supported seven non-profits, volunteered over 850 hours, and donated more than \$200,000.



Supporting Adults with Disabilities

The Brookwood Community is a local organization working to change the way the world thinks about adults with disabilities. Brookwood aims to provide an educational environment that creates meaningful work, builds a sense of belonging, and awakens genuine purpose in the lives of its citizens.

In December 2022, EnCap employees gathered to volunteer at the center located in Brookshire, Texas. Our team performed much needed work, moving large furniture and medical equipment out of an older building into a newer facility. We also packaged special orders of Christmas cookies. To further assist in Brookwood's budget and mission, EnCap and our Partners gifted \$125,000.



Serving Our Communities

Our employees have organically become involved in philanthropy in many ways, including volunteering, making charitable donations, and serving on boards or other leadership positions. As such, individual engagement adds a meaningful amount over and above what we do as an organization at the EnCap level. Below is an abbreviated list of the many organizations our employees have participated in. Beyond these, some give their time and talents to their local churches and schools, serving as mentors, coaches, or fundraisers.

Employee Involvement

Education



Health



Community Resources



Philanthropy at Our Portfolio Companies

Many of our portfolio companies also choose to be actively involved in their communities whether through their organization or outside of work. We are supportive of company-wide activities as we believe it contributes to enhanced team-building as well as benefitting the areas that our teams live and work in. There is no prescribed approach, but some have implemented these practices:

- Serving in leadership roles for community organizations
- Matching employee contributions or giving financially
- Company-wide volunteer events
- Providing paid-time off for individual volunteering

Community Involvement Highlights

Below is a subset of the philanthropic efforts reported by our companies during 2022:



- Actively supports many organizations, including Skyhigh, Kidlinks, Big Brothers Big Sisters, Artesia Head Start, among others
- Silverback employees have volunteered over 100 hours in promoting education within the local Artesia, New Mexico community



- Double Eagle aims to have a positive impact in the Fort Worth, Texas and West Texas communities
- Efforts focus on four key areas: community development, education, hospitals and wellness, and mentoring and youth development



- Pegasus employees volunteered over 300 hours during the year
- Held two events at Tarrant County Food Bank and Angel Tree Christmas



- Participates in community events where the company has project development activities
- Supported SPOT (animal rescue) and Hesed House (community health) in Wharton County, Texas



- Has quarterly community service events, assisting those in Austin or in the communities of the company's projects
- Volunteered over 30 hours at Austin Park Foundation to replenish mulch and improve soil structures for trees

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